3.12 Drafting new organisational structure for small scale (industries) enterprises - Case Study

CASE STUDY

Case Study - 1

Ashok is an architect; he runs a small consultancy in the front portion of his house. He performs all the tasks in his office such as attending to the customers, designing, operating computers, filing etc on his own. All the aspects of the business is met by him without employing anybody.

Case Study - 2

Udyok is a family run restaurant managed by Aruna. Each person in the family will contribute their part as needed to the functioning of the restaurant in the tasks, such as cleaning restrooms, food preparation, and serving guests. All the decisions regarding the business operation is taken by Aruna alone and family members will follow her guidance. Udyok has few rules and regulations to be followed by the employees. Profit from the restaurant was shared among the family members based on their contribution and tends to be informal.

Case Study - 3

AB Fabrics was initially started as a small firm and as it grows the founder often finds that a simple structure is no longer adequate to meet the organization needs. He felt that organization requires more formal division of labour and strong emphasis of hierarchy and vertical links. Employees are divided into departments that each handle activities related to a functional area of the business such as marketing, production, human resources, information technology and customer service. Each of these five areas would be headed up by a manager who coordinates all activities related to her functional area. Everyone in a company that works on marketing the company's products, for example, would report to the manager of the marketing department. The marketing managers and the managers in charge of the other four areas in turn would report to the chief executive officer.

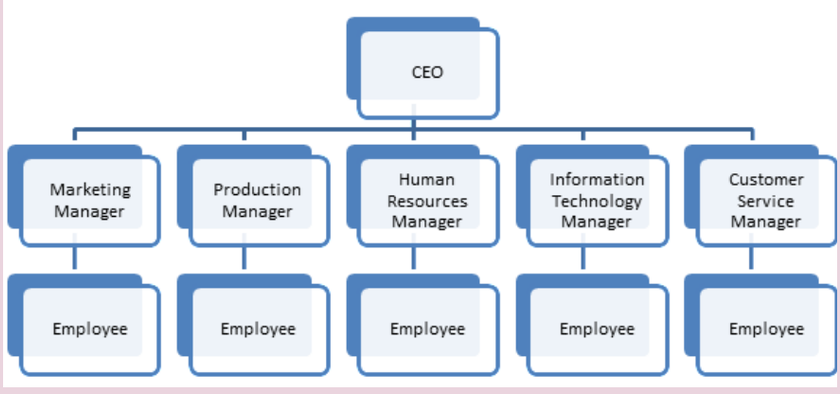


Figure 3.12 AB Fabrics Organisational structure

Discussion

1. What type of Organisation structure is followed in Case Study 1, 2 & 3?
2. Prepare a detailed Organisation chart for each Case study.
3. Discuss the merits and demerits of Organisational structure in each Case Study.

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